

Procure Space ETF

SPCX NASDAQ

Buy	\$151.77 ▲ 5.77%	12M Price Target \$185.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.00T
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SPCX: Space Weapons Confirmation Reignites the Rally

WHAT HAPPENED

- SPCX ripped +5.77% today after the Defense Department officially confirmed space-based weapons programs — that's huge for the whole basket because Procure Space ETF holds the launch providers, satellite makers, and defense-space contractors that will get paid to build this stuff. Translation: what was rumored government spending is now confirmed government spending.
- SpaceX (the ETF's biggest indirect exposure via its recent IPO) reclaimed its \$150 IPO price after Morgan Stanley put out a bullish note on its AI/compute-in-space angle, and Cathie Wood essentially said the "data centers in orbit" thesis is what forced SpaceX public. That's a narrative shift — space is no longer just launch, it's AI infrastructure.

WHY IT MATTERS

Today's move isn't just a bounce — it's the market re-rating space from "cool sci-fi sector" to "defense + AI infrastructure play," which are the two hottest spending buckets in Washington right now. When the Pentagon confirms space-based weapons, that unlocks multi-year contracts for the exact companies inside SPCX (Rocket Lab, L3Harris, Iridium, plus SpaceX exposure) — meaning revenue visibility just got much better and the whole ETF should trade at a higher multiple. But watch the options tape: someone big is buying \$210-\$230 puts, meaning smart money is either hedging existing longs or betting we don't retake the \$225 highs quickly. Bottom line — the fundamental story got stronger today, but positioning suggests a choppy grind higher, not a straight line back to the 52-week high.

POLICY & POLITICAL WATCH

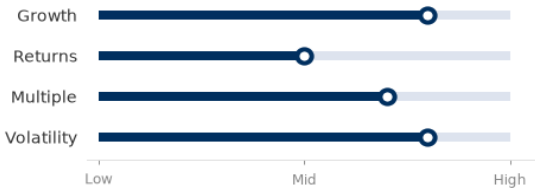
The big one is the FY2027 defense authorization working through Congress, which reportedly boosts Space Force funding by double digits — if that passes intact, it's a direct revenue pipeline for SPCX's top holdings. Also watch the Trump administration's stance on commercial space regulation: Bessent's comments defending a lighter-touch AI safety approach signal the same deregulatory posture is likely for space launch licensing (FAA Part 450 reforms), which speeds up launch cadence and revenue. The wildcard: any China tariff escalation could hit satellite component supply chains, since rare earths and specialty chips are still China-exposed.

IS IT EXPENSIVE?

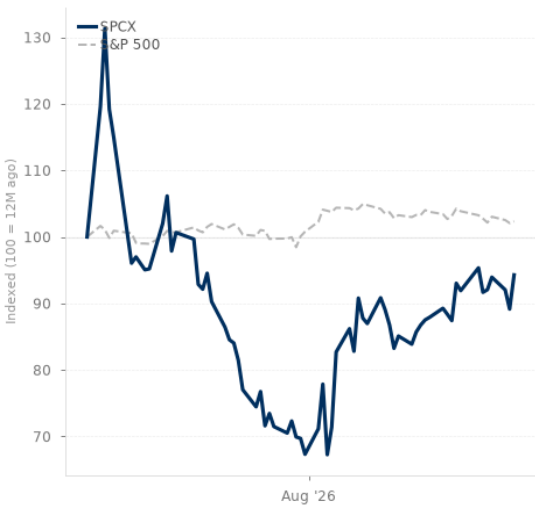
Key Data

Price (USD)	\$151.77
12M Price Target	\$185.00
Upside / (Downside)	+21.9%
Market Cap	\$2.00T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$155.00	\$140.00
6 Months	\$190.00	\$170.00	\$130.00
1 Year	\$225.00	\$185.00	\$120.00
2 Years	\$280.00	\$210.00	\$110.00
5 Years	\$400.00	\$275.00	\$130.00
10 Years	\$650.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+0.75%) and Tech (+0.81%) are leading — both benefit from the space-defense-AI convergence theme. Defense contractors specifically are catching a bid on the space-weapons confirmation.

COOLING OFF: Utilities are down 3.2% on the week as money rotates out of defensive yield plays into growth/thematic names — classic risk-on rotation.

ROTATION WATCH: Cash is flowing from safety (utilities, staples) into thematic growth with a government-spending tailwind (space, defense-AI, cybersecurity). That's a direct positive for SPCX.

RELATED PLAY: If space keeps running, the second-order winners are the specialty semiconductor names (radiation-hardened chips) and the ground-station/data infrastructure plays — think Viasat, and even data center REITs that will host the ground-side compute.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on the launch cadence story and Neutron rocket progress — direct beneficiary of DoD space-weapons contracts.
- LHX (L3Harris): Legacy defense-space contractor that's already embedded in classified programs — the confirmed space-weapons news is essentially free advertising.

SPCX CONTEXT: SPCX is leading the broader industrials sector today (+5.77% vs Industrials +0.75%), which tells us this is a thematic, sector-specific rally, not just market beta. That's constructive — when a theme moves independent of the tape, it usually has legs for weeks, not days.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong thematic setup with real government spending behind it, but the put flow and distance from highs keep me from pounding the table.

POSITION SIZE: 3-5% of portfolio — enough to matter if the thesis plays out, small enough that a 30% drawdown doesn't wreck you. Space is volatile.

ENTRY POINTS: I'd add on pullbacks to \$143-148 (recent support). Chasing at \$151 is fine for a starter position, but leave room to average down.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the FY2027 defense budget passage and the first major space-weapons contract announcement.

WHEN TO BAIL: If SPCX breaks below \$130 on heavy volume, or if Congress guts Space Force funding in reconciliation — either one invalidates the setup.

HEDGING: Simplest hedge is to trim if we get near \$200 (into strength) rather than buying puts. If you want protection, buying a \$140 put dated 3 months out caps your downside for a modest premium — think of it as insurance on your position.